BitWealth (Pty) Ltd

Partnership & Equity Structure — Proposal Framework

Prepared for discussion with the CEO of RocketX
April 2026 | Discussion Document — Subject to Negotiation

1. Purpose of This Document

This document sets out a proposed two-phase structure for a partnership between BitWealth (Pty) Ltd, RocketX, and Simon Hobday. The structure is designed to enable BitWealth to go to market immediately under RocketX's regulatory cover, while creating a clear path toward a permanent equity arrangement that aligns the long-term interests of all parties.

All numbers, percentages, and terms in this document are starting positions for discussion. Final terms will be negotiated and documented in formal agreements drafted by attorneys.

2. Parties and Contributions

Each party brings a distinct and complementary contribution. Recognising the relative weight of each contribution is the foundation for the equity discussion.

Party	Primary Contribution	Nature
Founder (Davin Harald Gaier)	IP, technology, product, founding effort, ongoing CEO role	Sweat equity + existing IP
RocketX (or CEO personally)	FSP & CASP licence, regulatory & compliance infrastructure, industry credibility	Regulatory access + governance
Simon Hobday	Distribution network, client acquisition, capital injection (TBC), full-time operating role	Capital + sweat equity + sales

3. Phase 1 — Joint Representative (JR) Arrangement

The JR arrangement is the bridge that allows BitWealth to begin onboarding clients legally while equity negotiations are concluded in parallel. This phase is intended to last 3 to 6 months.

3.1 Proposed JR Terms

Term	Proposed Position
Effective date	Upon RocketX CASP licence finalisation (~mid-May 2026)
Duration	3 to 6 months, automatically converting to the equity structure once the SHA is signed
Revenue share to RocketX	30% of gross revenue (performance fees + platform fees)
Compliance services included	Yes — full compliance administration, KI supervision, regulatory reporting
BitWealth client ownership	BitWealth retains all client relationships and data; clients sign mandates with BitWealth as the appointed Representative of RocketX

Termination	Either party may terminate on 60 days' notice; BitWealth retains client portability subject to clients' consent
Credit toward equity	JR fees paid during this phase to be credited (in part or in full) against RocketX's equity subscription price — to be negotiated

3.2 Why 30%?

Industry-typical JR/sub-FSP arrangements in South Africa range from 20% to 40% of gross revenue. 30% sits in the middle and reflects the value of a fully outsourced compliance function plus the regulatory licence itself. A lower percentage may be defensible if BitWealth handles its own compliance operations (e.g. record keeping, FICA), with RocketX providing only the licence umbrella and KI oversight.

4. Phase 2 — Permanent Equity Structure

Once equity terms are agreed, the JR fee converts into shareholder economics. BitWealth becomes a jointly-owned operating company. Three illustrative options are set out below.

4.1 Founder Non-Negotiables

- Founder retains a controlling stake (>50%) for the foreseeable future
- Right of First Refusal (ROFR) on any share sale or transfer by any shareholder
- All IP currently held personally by the Founder to be formally assigned to BitWealth (Pty) Ltd before any equity is issued — this protects all parties
- Vesting on all new shareholder equity (minimum 3-year vesting with a 1-year cliff)
- Reverse vesting: if Simon or RocketX exit before Year 3, unvested shares are forfeited

4.2 Three Equity Options for Discussion

Option A — Founder-Led (Conservative)

Shareholder	% Equity	Rationale
Founder	65%	Reflects existing IP, 1,000+ hours of build, ongoing CEO role
Simon	20%	Distribution + capital + full-time operations
RocketX	15%	Licence umbrella; lower % because Founder retains operational control and IP

Best if: RocketX's role is limited to licence + compliance, with no material capital injection. JR-style economics persist (revenue share) but at a reduced rate of ~10% on top of the equity.

Option B — Balanced Three-Way Partnership (Recommended Starting Point)

Shareholder	% Equity	Rationale
Founder	55%	Retains control; existing IP and ongoing CEO role
Simon	25%	Distribution + capital + full-time operations
RocketX	20%	Licence umbrella + active regulatory/governance involvement

Best if: All three parties are actively engaged. RocketX takes a board seat and provides strategic regulatory guidance beyond pure licence cover. Simon commits both capital and full-time effort. JR revenue share falls away entirely.

Option C — Capital-Weighted (If RocketX Invests)

Shareholder	% Equity	Rationale
Founder	51%	Retains bare control
Simon	24%	Distribution + capital + full-time operations
RocketX	25%	Licence + regulatory + material capital injection (e.g. R[X]m at the agreed pre-money valuation)

Best if: RocketX commits real capital alongside the licence — for example to fund marketing, engineering, or operating runway. Equity tracks total economic contribution.

5. Valuation Framework

Three independent methods are presented below. The defensible position is the average (or highest) of the three, depending on negotiating context. As a pre-revenue start-up, valuation is inherently subjective — the goal is to anchor the discussion with credible benchmarks rather than arbitrary numbers.

5.1 Method 1 — Cost-to-Replicate (Sweat Equity)

What would it cost a third party to build what you have built?

Input	Value
Founder development hours	1,000+ hours over 7 months
Reasonable senior-developer rate (SA, fintech)	R 700/hour
Sweat equity value	R 700,000
Cash invested in infrastructure	R 15,000
Strategy IP premium (proprietary signal logic, backtested)	R 200,000 – R 500,000
Total (range)	R 915,000 – R 1,215,000

5.2 Method 2 — Discounted Future Revenue (Bottom-Up)

What is the business worth based on near-term realistic revenue?

Year 1 base case (Simon's network only):

- 20 clients × R 100,000 average AUM = R 2,000,000 AUM
- Assumed strategy net return: 25% pa (conservative vs backtest)
- Client profit pool: R 500,000
- Performance fee (10% of profit): R 50,000
- Platform fee (0.75% on AUM): R 15,000
- Total Year 1 revenue: ~R 65,000

Year 3 projection (organic growth + Simon's network):

- 80–120 clients × R 150,000 average AUM = R 12m – R 18m AUM
- Annual revenue at same fee structure: R 400,000 – R 600,000

Applying a fintech revenue multiple of 4–6× Year 3 revenue (typical for early-stage SA fintech with regulatory cover):

Scenario	Year 3 Revenue	Multiple	Implied Valuation
Conservative	R 400,000	4×	R 1,600,000
Base	R 500,000	5×	R 2,500,000
Optimistic	R 600,000	6×	R 3,600,000

5.3 Method 3 — Berkus Method (Pre-Revenue Milestone)

A standard pre-revenue valuation method that assigns up to R 500,000 per de-risking milestone:

Milestone	Status	Value
Sound idea (basic value, product risk)	Achieved — validated by backtest	R 500,000
Prototype (technology risk reduced)	Achieved — full system live, 2 pilot users	R 500,000
Quality management team	Partial — Founder + KI; pending Simon	R 250,000
Strategic relationships (market risk)	Achieved on partnership signing — RocketX + Simon	R 500,000
Product rollout / sales (production risk)	Pending — pilot only	R 100,000
Total Berkus valuation		R 1,850,000

5.4 Recommended Valuation Range

Method	Valuation
Cost-to-Replicate	R 915k – R 1.2m
Discounted Future Revenue	R 1.6m – R 3.6m
Berkus (Pre-Revenue)	R 1.85m
Recommended pre-money valuation for discussion	R 2.0m – R 2.5m

Anchor the negotiation at R 2.5m and accept anywhere down to R 1.8m. Anything below that undervalues the IP, the regulatory groundwork already done, and the operational platform.

6. Questions to Ask the RocketX CEO

Before the equity discussion can be finalised, the following questions should be answered.

6.1 Capital and Investment

- Will RocketX inject capital into BitWealth, or is the contribution purely the licence and compliance services?
- If capital is on the table, what amount and on what terms (equity vs convertible loan vs revenue advance)?
- Would RocketX be willing to fund the first 12 months of marketing and operating costs in exchange for additional equity?

6.2 Entity Structure

- Will RocketX (Pty) Ltd be the shareholder, or will the CEO take shares personally?
- If corporate, are there existing shareholders/board members in RocketX who must approve this transaction?
- Are there any restrictions in RocketX's existing FSP licence that would limit it from holding equity in another FSP applicant?

6.3 Operational Role

- Will RocketX want a board seat? Voting or observer?

- Beyond the licence, what active role does the CEO see RocketX playing — strategic guidance, introductions, infrastructure sharing?
- Will RocketX provide the Key Individual on a permanent basis, or only during the JR phase?

6.4 JR-to-Equity Transition

- Should the JR revenue share paid during Phase 1 be credited against RocketX's equity subscription price?
- What is the trigger to move from Phase 1 to Phase 2 — date, AUM milestone, or licence approval?
- Once in Phase 2, does the JR fee fall away entirely, or is there a residual licence-fee component?

6.5 Exit and Protections

- Will RocketX accept reverse vesting (i.e. equity vests over 3 years; unvested shares forfeited if RocketX exits early)?
- Tag-along, drag-along, and ROFR clauses — acceptable in principle?
- Founder veto rights on changes to strategy, capital structure, or sale of business — acceptable?

7. Recommended Path Forward

#	Action	Owner	Timing
1	Sign IP Assignment Agreement transferring all LTH PVR IP from Founder to BitWealth (Pty) Ltd	Founder + Attorney	Before any partnership discussion
2	Execute JR Agreement with RocketX (Phase 1)	All parties + Attorney	On RocketX CASP licence finalisation
3	Begin onboarding clients under JR cover	BitWealth	Immediately after JR signing
4	Negotiate and sign Shareholders Agreement (SHA) — Phase 2	All parties + Attorney	Within 3–6 months of JR start
5	Convert from JR to permanent equity structure; JR fees fall away	All parties	On SHA effective date
6	Submit own FSP licence application (continuing in parallel)	Founder + Compliance Officer	Within 6 months

8. Key Risks to Manage

Risk	Mitigant
Founder loses control through dilution	Cap RocketX + Simon combined at <50% in initial round; require shareholder supermajority for further dilution
RocketX uses leverage (licence dependency) to renegotiate	Time-bound JR agreement with credit toward equity; pursue own FSP licence in parallel as exit option
Simon underdelivers on distribution	Vesting schedule with performance milestones; reverse vesting if AUM targets missed
IP disputes if Founder exits	All IP assigned to BitWealth (Pty) Ltd before any equity is issued
Disagreement on operational direction	Founder retains CEO role; clear decision rights in SHA; deadlock resolution mechanism
Client portability if partnership ends	Client mandates explicitly with BitWealth, not RocketX; written portability clause in JR

This document is a discussion framework prepared by the Founder of BitWealth (Pty) Ltd. All terms are non-binding and subject to negotiation and formal legal documentation. Final agreements should be drafted and reviewed by attorneys experienced in financial services partnerships and shareholder agreements in South Africa.